

couple of days. Those who feel that privacy is a benefit to cryptoassets, which are supranational by nature, might avoid exchanges that require this level of documentation. In general, a higher level of regulation may benefit the consumer protections of the investor and ensure the stability of an exchange.²⁰

Does the Exchange Provide Insurance?

As the use of bitcoin and cryptoasset exchanges have grown, there has also been the growth of insurance plans for exchanges. One such insurer is Mitsui Sumitomo Insurance, which offers loss protection to a number of exchanges.²¹ Other insurers are planning to enter this space as well, and it's beneficial for innovative investors to research whether the exchange they choose has this insurance. Coinbase was one of the first companies to offer insurance for its clients' bitcoin holdings, which includes the bitcoin in GDAX, the exchange it operates.²² In part, Coinbase is able to insure its clients' bitcoin because it keeps less than 2 percent of customer funds online; the rest is in highly secure offline storage.²³

HOT WALLET VERSUS COLD STORAGE

Let's turn to the distinction between hot wallets and cold storage, and why it's important to understand both. The acquisition and storage of cryptoassets are two separate considerations. While exchanges, by default, will store the